years, lasting from 1722 to 1784. The answer, then, is that if the cycle is still operating, our timing projection should be fairly reliable. The earliest likely year for a bottom is **2002**, the best fit is **2003**, and a match of the longest cycle on record would place the low as far out as **2011**.

Figures B-5 through B-9 display the five most recent Kondratieff cycles in terms of stock prices, along with the dominant subcycle. (The data, courtesy of the Foundation for the Study of Cycles, is plotted in logarithms.) Let's examine the various end-of-cycle resolutions to see if we can develop a price projection for the end of the current cycle.

The mildest late-cycle stock market decline bottomed in 1896 and brought stock prices down 46%. It is unlikely that the next Kondratieff cycle decline will be so mild. First, that decline ended a correction of only Cycle degree within a Supercycle *third* wave, the most powerful part of the larger advance. The current situation will resolve with a bear market of at least Supercycle degree, quite a different situation. What's more, the drop into 1896 was the only decline among the last three that began from a level well below the long term Elliott Wave resistance line connecting the highs of 1836 and 1929 (see Figure 2-1). The lack of corresponding overvaluation reduced the downside potential. Once again, today's situation is completely different, as the market is actually *above* the long term trendline for the first time ever. Thus, there is every reason to bet against the occurrence of a mild decline.

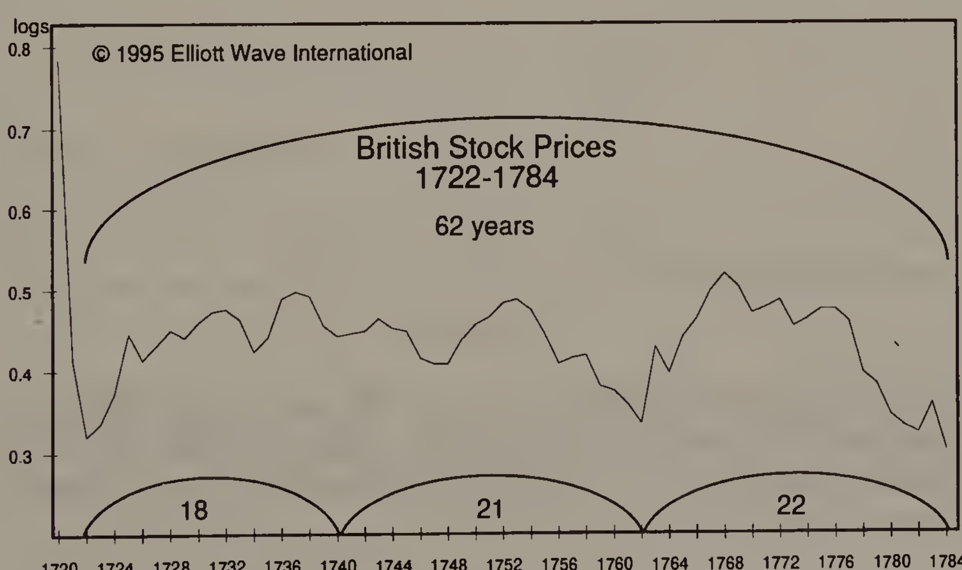

Figure B-5